

MC: LVMH Moët Hennessy – Louis Vuitton SE

Fundamental Overvaluation · Stagnating Growth · Escalating Financial Headwinds

NTM P/E	Fwd Revenue YoY	Proj. EBITDA Margin	Proj. ROE 2026E
20.51x	+0.2%	30.5%	15.43%
Premium pricing	Stagnation phase	vs 31.9% in 2025A	vs 16.12% in 2025A
Value Rank	Growth Rank	Fwd GAAP EPS YoY	Interest Expense YoY
8/100	36/100	+0.2%	+102.1%
Extreme overvaluation	Lower tier growth	Dead flat bottom-line	Financial headwinds

THE ANTI-HYPE THESIS: A QUANTITATIVE WARNING ON LVMH

A brilliant portfolio of luxury brands does not automatically guarantee efficient capital allocation or continuous fundamental expansion. Our quantitative model has flagged LVMH (MC) at the lower boundaries of our 3,700+ European equity universe, scoring a dismal **Value Rank of 8/100** and a **Growth Rank of 36/100**. While the market continues to price LVMH as a bulletproof growth compounder, the underlying financial statement data reveals severe operational flattening and escalating financial headwinds.

1 · Total Stagnation of the Top and Bottom Line

The core narrative of secular luxury expansion is officially broken. The forward estimates show a business struggling to find organic velocity.

■ **Top-Line Flatline:** Following a **–4.6% YoY revenue decline** in 2025A, projections for 2026E indicate total stagnation at €80,940M — a growth rate of just **+0.2%**.

■ **Bottom-Line Paralysis:** Forward GAAP EPS projected virtually dead flat at **+0.2%** (€21.90 vs €21.85 in 2025A) — failing to reverse the heavy **–13.0%** contraction experienced in the previous fiscal year.

2 · Margin Compression & Doubling Interest Expenses

LVMH is experiencing a dual squeeze: shrinking operational efficiency combined with escalating debt service costs.

■ **EBITDA Margin Erosion:** EBITDA expected to fall by **–4.2% YoY**, forcing EBITDA margins down from 31.9% to **30.5%**. EBIT margins follow a similar downward trajectory, compressing to **21.7%**.

■ **Interest Cost Explosion:** Interest Expenses projected to skyrocket from €401M to **€810M (+102.1% YoY)** — the most striking fundamental headwind, severely penalising net profitability.

3 · Detrimental Cash Metrics & Capital Efficiency Decay

While nominal Free Cash Flow appears resilient due to working capital adjustments, the true underlying cash generation per share is under intense pressure.

■ **Cash Flow Per Share Contraction:** Cash Flow / Share estimated to drop **–11.6% YoY** — falling from €37.90 to **€33.49**. Total Cash from Operations structurally down by **–2.8%**.

■ **Eroding Returns:** Return on Equity on a downward path, shrinking from 16.12% to **15.43%** — signalling a deterioration in capital allocation efficiency.

■ **Dividend Growth Halt:** Reflecting management's defensive stance, Dividend Per Share projected to contract by **−0.8% YoY** (€12.89 vs €13.00) — a rare and telling signal from a historically generous payer.

The Bottom Line

LVMH is a marketing masterpiece but a quantitative red flag. Trading at a premium NTM P/E of 20.51x for a business generating +0.2% revenue growth, contracting operating margins, and a 102% surge in interest expenses offers zero margin of safety. A Value Rank of 8/100 places it firmly at the absolute bottom of our European universe. Until valuation multiples compress to match this mature industrial reality, MC remains firmly excluded from our Top 20% Alpha Universe. Stop guessing, start calculating.

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